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TOPETE v. FCS US,

LLC, ET AL.

CASE NO.: 26NWCV01185

HEARING: 08/04/2026 @ 9:30 AM

#10

TENTATIVE ORDER

I.

Defendant FCA US, LLC’s demurrer to the

first, second, third causes of action is OVERRULED.

II.

Defendant’s demurrer to the fourth cause

of action is SUSTAINED without leave to amend.

III.

Defendant’s demurrer to the sixth cause

of action is SUSTAINED with 30 days LEAVE TO AMEND.

IV.

Defendant’s motion to strike is MOOT.

Moving party to give notice.

Defendant FCA US, LLC (Defendant) demurs to the complaint and moves to strike portions of the complaint.

Background

On April 2, 2026, Plaintiff Kevin Topete (Plaintiff) filed this lemon law action against Defendants FCA US LLC, Champion Chrysler Jeep Dodge Ram Fiat, and Does 1 through 10. This action arises out of alleged defects and nonconformities to warranty Plaintiff experienced with his 2022 Ram 1500 vehicle (Subject Vehicle).
(Complaint, ¶¶ 7, 12.) The complaint asserts six causes of action: (1) violation of Civil Code section 1793.2, subd. (d); (2) violation of Civil Code section 1793.2, subd. (b); (3) violation of Civil Code section 1793.2, subd. (a)(3); (4) breach of the implied warranty of merchantability; (5) negligent repair, (6) fraudulent inducement-concealment.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) In assessing a demurrer, the court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of law.” (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) “The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn, supra, 147 Cal.App.4th at p. 747.) A complaint will be upheld against a demurrer if it pleads facts sufficient to place the defendant on notice of the issues sufficient to enable the defendant to prepare a defense. (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 549-50.)

“Generally it is an abuse of discretion to sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment.” (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) A “[p]laintiff must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading.” (Ibid.)

Meet and Confer

Code of Civil Procedure section 430.41 requires that the demurring party meet and confer in person, by telephone, or by video conference at least five days before the responsive pleading is due. (Code Civ. Proc., § 430.41, subd. (a).) The demurring party shall file and serve a declaration stating either: (a) "The means by which the demurring party met and conferred…and that the parties did not reach an agreement resolving the objections raised in the demurrer" or (b) "[t]hat the party who filed the pleading subject to demurrer failed to respond to the meet and confer request of the demurring party or otherwise failed to meet and confer in good faith." (Code Civ. Proc., § 430.41, subd. (a)(3).)

Defendant complies with the meet and confer requirement. (Park Decl., ¶ 1.)

Discussion

Defendant demurs to the first through fourth and sixth causes of action in the complaint on the grounds that they are barred by the statute of limitations. Defendant additionally demurs to the sixth cause of action based on the sufficiency of the allegations.

First, Second, & Third
Causes of Action: Violation of Civil Code section 1793.2, subd. (d); Violation of Civil Code section 1793.2, subd. (b); Violation of Civil Code section 1793.2, subd. (a)(3)

Defendant demurs to the first through third causes of action in the complaint on the grounds that the claims are time-barred by the four-year statute of limitations.

Express warranty claims are subject to a four-year statute of limitations. (Comm. Code, § 2725; Cardinal Health 301, Inc. v. Tyco Electronics Corp. [Cardinal Health 301] (2008) 169 Cal.App.4th 116, 135; Mexia v. Rinker Boat Co., Inc. (2009) 174 Cal.App.4th 1297, 1304–06.) "[U]nder section 2725, the general limitations rule for a breach of warranty cause of action is four years from the date the goods are delivered (regardless of the date the buyer discovers the breach), unless the 'warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance ....' [Citation.] If the exception applies, the accrual date is the time the breach ‘is or should have been discovered.’” (Cardinal Health 301, supra, 169 Cal.App.4th at p. 129; Comm. Code, § 2725, subd. (b).)

“A plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence. The burden is on the plaintiff to show diligence, and conclusory allegations will not withstand demurrer.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1324.)

Defendant demurs on the grounds that the complaint alleges Plaintiff purchased the Subject Vehicle on November 9, 2021, yet filed this action on April 2, 2026, over four years later. (Complaint, ¶ 7.) Defendant argues that while the complaint includes a section explaining an alleged basis for tolling, the allegations lack supporting facts. The complaint alleges the statute of limitations is tolled based on the discovery rule because “Plaintiff discovered Defendants' wrongful conduct alleged herein March 18, 2026 when Plaintiff requested a buyback and/or restitution of the Subject Vehicle from FCA, as the Vehicle continued to exhibit symptoms of defects following FCA's unsuccessful attempts to repair them. However, FCA failed to provide restitution.” (Complaint, ¶ 26.)

In opposition, Plaintiff argues that the express warranty extends to future performance and the statute of limitations therefore accrues upon discovery. Plaintiff argues that the complaint alleges that Defendant’s express warranty extends coverage for a period of five years or 60,000 miles on the powertrain. (Complaint, ¶ Exh. A.)

The parties dispute the application of Krieger v. Nick Alexander Imports, Inc. (1991) 234 Cal.App.3d 205, 214 and the future performance exception. “The scope of the ‘future performance’ exception has been the subject of numerous, and sometimes conflicting, decisions throughout the country.” (Cardinal Health 301, supra, 169 Cal.App.4th at p. 130.) “But the majority view is that the exception must be narrowly construed, and that it applies only when the seller has expressly agreed to warrant its product for a specific and defined period of time.” (Ibid.)
The Cardinal Health 301 court found that a warranty involving a “promise that the product will work for ‘50,000 cycles,’” did not extend to future

performance. (Id., at p. 131-32.) The Cardinal Health 301 court distinguished “Krieger…in that it provides an example of a warranty that explicitly extends to future performance because it contains an express time limit. The automobile warranty stated the defendant would repair defects for 36 months or the first 36,000 miles, whichever occurs first—thus creating a defined three-year outer limit for the warranty period.” (Id., at p. 133, citing Krieger, supra, 234 Cal.App.3d at p. 216.) “Moreover, the Krieger court focused on the promise to repair the vehicle during the warranty period. The court stated: ‘A promise to repair defects that occur during a future period is the very definition of express warranty of future performance....’” (Ibid.)

Here, the Court finds that the warranty is analogous to that of Kreiger, not Cardinal Health 301, as it puts an outer 5-year time limit for repairs. (Complaint, ¶ 8, Exh. A.) Therefore, the statute of limitations began to accrue upon the time the breach should have been discovered. On the face of the complaint, Plaintiff alleges she discovered wrongful conduct on March 18, 2026 when requesting buyback or restitution. (Complaint, ¶ 26.) Therefore, the Court finds that on the face of the pleading, this action is not barred by the statute of limitations.

Accordingly, Defendant’s demurrer to the first through third causes of action is OVERRULED.

Fourth Cause of Action – Breach of the Implied Warranty of Merchantability

The statute of limitations on a claim for breach of an implied warranty of merchantability is four years.¿(Montoya v. Ford Motor Co.¿(2020) 46¿Cal.App.5th 493, 495.)¿The claim “accrues when the breach occurs, regardless of the aggrieved party’s lack of knowledge of the breach.¿A breach of warranty occurs when tender of delivery is made.” (Comm. Code, § 2725, subd. (2).)¿There is no delayed-discovery rule with respect to accrual of a claim for breach of an implied warranty.¿(Cardinal Health 301, supra, 169 Cal.App.4th at p. 134.) The implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale. (Mexia, supra, 174 Cal.App.4th at p. 1304.)

An implied warranty does not explicitly extend to future performance.¿(Cardinal Health 301, supra, 169 Cal.App.4th at p.

134.) Therefore, the statute of limitations bars the implied warranty claim on the face of the pleadings.

Accordingly, Defendant's demurrer to the fourth cause of action is SUSTAINED.

Sixth
Cause of Action – Fraudulent Concealment

Defendant argues that Plaintiff's sixth cause of action is barred by the statute of limitations, fails to state facts with the requisite specificity to allege fraud, and fails to state facts sufficient to constitute a cause of action.

Statute of
Limitations

The statute of limitations on a claim for fraud is three years from the date of accrual. (Code Civ. Proc., § 338, subd. (d).) The claim "is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." (Code Civ. Proc., § 338, subd. (d).)

Defendant argues that the complaint fails to allege facts justifying tolling by the delayed discovery rule.

The Court agrees that the complaint fails to sufficiently allege delayed discovery. The complaint alleges "Plaintiff discovered Defendants' wrongful conduct alleged herein March 18, 2026 when Plaintiff requested a buyback and/or restitution of the Subject Vehicle from FCA, as the Vehicle continued to exhibit symptoms of defects following FCA's unsuccessful attempts to repair them." (Complaint, ¶ 26.) This is insufficient: "When a plaintiff alleges the fraudulent concealment of a cause of action, the same pleading and proof is required as in fraud cases: the plaintiff must show (1) the substantive elements of fraud, and (2) an excuse for late discovery of the facts." (Community Cause v. Boatwright (1981) 124 Cal.App.3d 888, 900.) "[F]or the belated discovery, the complaint must allege (1) when the fraud was discovered; (2) the circumstances under which it was discovered; and (3) that the plaintiff was not at fault for failing to discover it or had no actual or presumptive knowledge of facts sufficient to put him on inquiry." (Ibid.)

There are not enough facts to meet the heightened requirements in pleading fraud and the alleged belated discovery.

Sufficiency of
Allegations

Defendant additionally demurs to the sixth cause of action on the grounds that Plaintiff fails to allege fraud with the requisite specificity and based on the sufficiency of the allegations.

“[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.”

(Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC (2008) 162 Cal.App.4th 858, 868.) Concealment claims require the same specificity standard as fraud claims, but the requirement to plead how, when, where, to whom, and by what means misrepresentations were communicated do not apply to concealment. (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384 [“How does one show ‘how’ and ‘by what means' something didn't happen, or ‘when’ it never happened, or ‘where’ it never happened?”].) Rather, if a party alleges that a defendant’s duty to disclose arose by the virtue of their relationship or defendant’s exclusive knowledge or access to certain facts, “the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the¿general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission.” (Rattagan v. Uber Technologies (2024) 17 Cal.5th 1, 43-44.)

Here, the complaint alleges Defendant committed fraud “by allowing the Vehicle to be sold to Plaintiff without disclosing that the

Vehicle and its 8-speed Transmission were defective and susceptible to sudden and premature failure. (Complaint, ¶ 53.) The complaint alleges Defendant knew about the defects prior to Plaintiff acquiring the Subject Vehicle “through sources not available to consumers such as Plaintiff, including but not limited to pre-production and post-production testing data; early consumer complaints about the Transmission Defect made directly to Defendant FCA and its network of dealers; aggregate warranty data compiled from Defendant FCA's network of dealers; testing conducted by Defendant FCA in response to these complaints; as well as warranty repair and part replacements data received by Defendant FCA from Defendant FCA's network of dealers, amongst other sources of internal information.” (Complaint, ¶ 56.) Additionally, “Plaintiff is a reasonable consumer who interacted with sales representatives, considered Defendant FCA's advertisement, and/or other marketing materials concerning FCA Vehicles prior to purchasing Subject Vehicle.” (Complaint, ¶ 57.)

Defendant argues that Plaintiff fails to allege a transactional relationship, relying on Bigler-Engler v. Breg, Inc. [Bigler-Engler] (2017) 7 Cal.App.5th 276 which explains that a duty to disclose facts “arises only when the parties are in a relationship that gives rise to the duty, such as ‘seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.’” (Bigler-Engler, supra, 7 Cal.App.5th at p. 311 [citing to Shin v. Kong (2000) 80 Cal.App.4th 498, 509]; see also Rattagan, supra, 17 Cal.5th at 43-44; Bjoin v. J-M Manufacturing Co., Inc. (2025) 113 Cal.App.5th 884.) The Bigler-Engler Court further states that “[s]uch a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Id. at p. 312.) Defendant argues that there is no allegation that Plaintiff purchased the Subject Vehicle directly from Defendant, interacted with Defendant, or that the purchase gave a monetary benefit to Defendant.

In opposition, Plaintiff refers to Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 844 to argue that the allegations in the FAC are similar to that in Dhital. Dhital found:

At the pleading stage (and in the absence of a more developed argument by Nissan on this point), we conclude plaintiffs’ allegations are sufficient. Plaintiffs alleged that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan's authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers. In light of these allegations, we decline to hold plaintiffs' claim is barred on the ground there was no relationship requiring Nissan to disclose known defects.

(Dhital, supra, 84 Cal.App.5th at p. 844.)

The Court finds that the complaint does not allege facts with the requisite specificity to plead fraud. The complaint generally alleges that Plaintiff relied on Defendant's marketing materials and that "Defendant FCA and its directors, officers, employees, affiliates, and/or agents nevertheless concealed and failed to disclose the defective nature of the Vehicle, its 8-speed Transmission to Plaintiff prior to and at the time of sale." (FAC, ¶ 58.) These allegations are general rather than specific and do not constitute fraud, as pled. Moreover, the complaint does not plead a duty to disclose on behalf of Defendant. The complaint does not allege that Plaintiff purchased the Subject Vehicle from Defendant or direct dealings with Defendant. Further, the complaint does not allege that the dealership employees are agents of Defendant.

Lastly, Defendant argues this action is barred by the economic loss rule.

[U]nder the economic loss rule, tort recovery for breach of a contract duty is generally barred [citations] unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.

(Rattagan, supra, 17 Cal.5th at p. 21, citations omitted.)

In opposition, Plaintiff contends that Rattagan is distinguishable because it addresses fraud in the performance of a contract, rather than inducement, and fraudulent inducement is an independent tort. Plaintiff cites Rattagan to argue "that where a contract is secured by fraudulent representations, the injured party may elect to affirm the contract and sue for the fraud." (Id. at p. 41.)

The Court finds Rattagan does not bar Plaintiff's claims. Rattagan states that "[a] plaintiff may assert a fraudulent concealment cause of action based on conduct occurring in the course of a contractual relationship if the elements of the claim can be established independently of the parties' contractual rights and obligations, and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract. (Rattagan, supra, 17 Cal.5th at 13, emphasis added.) Case law, including Dhital, has stated that the economic loss rule does not apply to fraudulent inducement. "[T]he economic loss rule does not bar [claims] for fraudulent inducement by concealment." (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843; see also Erlich v. Menezes (1999) 21 Cal.4th 543, 544–545. ("Tort damages have been permitted in contract cases. . .where the contract was fraudulently induced.").) Notably, the Court in Rattagan states itself that it does not address the cause of action as raised in Dhital:

Rattagan's tort claims are, of course, based on alleged conduct committed during the contractual relationship but purportedly outside the parties' chosen rights and obligations. This court has granted review in two other cases — Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 300 Cal.Rptr.3d 715, review granted Feb. 1, 2023, S277568 and Kia America v. Superior Court (Feb. 3, 2022, D079858) [nonpub. opn.], review granted Apr. 20, 2022, S273170 — both of which involve claims of fraudulent inducement by concealment claims as well as the potential interplay with remedies available under the Song-Beverly Consumer Warranty Act (Civ. Code, § 1791 et seq.). We do not address these issues here.

(Rattagan, supra, 17 Cal.5th at fn. 12.) Therefore, the Court finds the economic loss rule does not bar Plaintiff's fraudulent inducement by concealment cause of action. Defendant's demurrer is not sustained on this basis.

Accordingly, Defendant's demurrer to the sixth cause of action is SUSTAINED with 30 days LEAVE TO AMEND.

Motion to Strike

Based on the ruling on the demurrer, Defendant's motion to strike is MOOT.